

Yageo – Pricing Strategy, AI Server Demand & Q1 Revenue Outlook

13 March 2026

Key Insights

- ▶ The overall inventory of MLCCs and tantalum capacitors has fallen to c4-12 weeks, including 2-4 weeks for AI servers. The early delivery momentum in Q1 is expected to continue until May. The industry is planning a new round of price increases. MLCC manufacturers may increase the prices of some products by c30%, but the actual implementation rate may be c15-20%. Kemet has previously implemented three rounds of double-digit price increases for tantalum capacitors, with each round ranging from 15-20%, driving further pressure on the industry to follow up
- ▶ Nvidia Rubin's MLCC usage is expected to increase by 2.7 times, while the use of aluminium electrolytic capacitors will increase by c25% and that of tantalum capacitors will decline by c60%. Nvidia's long-term strategy in the mass production stage is to replace tantalum capacitors with MLCCs and aluminium electrolytic capacitors as much as possible, "exchanging volume for price" to reduce BOM costs. After continuous price increases, the demand for tantalum capacitors on the data centre side will face the risk of being substituted and a marginal decline in the future, and they will only be used in key links that must take advantage of their low ESR and high reliability
- ▶ Yageo's strong revenue performance in January-February was mainly driven by the Lunar New Year's shopping festival, Blackwell and GB200 orders. Expert estimates that its QoQ growth rate in Q1 will be c5%

Specialist Hongxuan Chao (HC), Senior Director, Global Marketing at TDK Corp

Moderator Venis Zhu (VZ), Third Bridge Sector Analyst

Agenda

- ▶ Yageo's (TPE: 2327) Q1 utilisation rates and demand outlook
- ▶ Pricing strategy of MLCC (multilayer ceramic capacitor) and tantalum capacitors in AI servers
- ▶ Medium-term margin outlook and channel inventory

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Transcription begins at 00:00:01 of the recorded material

VZ: Hello and welcome to Third Bridge's Interview entitled Yageo – Pricing Strategy, AI Server Demand & Q1 Revenue Outlook (Conducted in Mandarin). My name is Venis Zhu, Third Bridge's Sector Analyst, and I will be facilitating today's Interview. We are very pleased to have Mr Chao, who is a Senior Director, Global Marketing at TDK Corp, with us today.

Mr Chao, before we start today's Interview, please state if you agree or disagree to the following statement: You understand the definition of material non-public information and agree not to disclose any such information, or any other information which is confidential, during this Interview.

HC: I agree.

[00:00:36]

Q: In 2021, the inventory in the industry was as high as 35-40 weeks. What are the changes in the inventory days of MLCCs [multilayer ceramic capacitors] and tantalum capacitors in Q4 last year and the first two months of Q1 this year?

HC: Last year, the inventory levels between H100 and H200 experienced a slowdown. With the introduction of GB200, there was a noticeable trough, during which inventory levels peaked. However, following the launch of Blackwell, the inventory began to gradually deplete. Recently, there has been a consistent increase in orders, leading to nearly all suppliers' inventories being cleared. Additionally, certain components are in tight supply. There are also some specific scarce products, such as high-voltage and high-capacitance ones. The parts with higher temperatures are in short supply at present.

VZ: How many weeks is the inventory of MLCCs and tantalum capacitors?

HC: At present, the average inventory is 4-12 weeks.

VZ: Do you mean the AI server?

HC: The AI server part is about 2-4 weeks.

VZ: Will there be any early stock replenishment activities in Q1?

HC: In Q1, there was some advance replenishment ahead of the Lunar New Year, primarily in January and

February. We initially expected the order volume to decline in March and April, but contrary to expectations, orders continued to rise. As a result, the figures for March, April, and May all show an upward trend without any signs of decline. However, H200 Grace Hopper has been affected by some political factors in China. Therefore, they have stopped production and are clearing their inventory with Nvidia. That is to say, the status of each project is different.

VZ: The 4-10 weeks of inventory just mentioned is the same for MLCCs and tantalum capacitors, right?

HC: Yes.

[00:03:54]

Q: What do you think of the demand cycle of MLCCs and tantalum capacitors this year?

HC: I believe the MLCC market is transitioning from lukewarm to booming this year. While production capacities across manufacturers remain underutilised, Murata has already signalled its perception of surging AI demand, indicating preliminary intentions to implement price hikes. It is said that the price will rise in March, but all EMS manufacturers haven't officially received the notice of price increase yet. However, some channels may already be raising their prices. At present, Kemet's or Yageo's sales price is certain to increase in channels. It is just that consumers are still trying to control their inventory.

As I said just now, the demand for MLCCs in Vera Rubin has risen sharply and that of tantalum has fallen sharply. Blackwell is still being shipped in large quantities and may continue till after the end of this year. When Blackwell demand decreases and Vera Rubin comes out, the demand for tantalum will decrease. Therefore, I think the demand for tantalum is only good for a short period before it encounters problems. MLCCs will gradually see better demand because Vera Rubin needs more MLCCs.

[00:05:37]

Q: Rubin's generation and the next-generation Ultra will start to be launched in H2 next year. Compared with Blackwell, what is the expected growth rate of MLCC and tantalum capacitor consumption?

HC: The data we see now is 2.68 times, an increase of 168% in MLCC. There is also an aluminium capacitor in the middle of the tantalum. The consumption of electrolytic capacitors has increased by 25% and that of tantalum has decreased by 60%.

VZ: Why is there such a relationship? Will the growth rate of MLCCs be higher than that of tantalum capacitors?

HC: MLCCs have an absolute advantage in small size and low price. They can replace tantalum with many MLCCs because when the price of tantalum reaches a certain level, it is relatively cheaper and the supply is smoother. The number of tantalum manufacturers is limited. When prices increase, procurement becomes challenging, leaving no option but to expedite deliveries.

In addition to being passive, Nvidia also faces a problem that it can't get enough memories. Therefore, when the price determines the supply, Nvidia cannot accept it. They have two teams, one in the NPI stage. For example, Vera Rubin is in trial production now. It doesn't care about the price during trial

production. As long as there are goods, it will buy them no matter how expensive they are. However, when negotiating on mass production, it hopes to get a reasonable price and will set the price according to the volume. As far as I am concerned, in the long term, it hopes to replace tantalum capacitors with MLCCs and aluminium capacitors because electrolytic capacitors are relatively expensive.

[00:08:13]

Q: What is the price difference between MLCCs, electrolytic capacitors and tantalum capacitors? The BOM of MLCCs in racks is not very high. If you talk about price sensitivity, it doesn't account for a large proportion of the total BOM cost. Does it have something to do with the power and voltage level specifications of servers?

HC: The average unit price of MLCCs is below USD 0.01, that of tantalum capacitors may be above USD 0.5 per piece and that of aluminium capacitors may range from less than USD 0.5 to about USD 0.2-0.3 per piece. Basically, the MLCC solution is the cheapest. Although it may be used more frequently, a small number of tantalum capacitors may cost a lot. In the circuit, tantalum capacitors have a big advantage in some electrical characteristics. Therefore, when it is necessary to use them at the power supply end, they still need to be used. However, if there are discrete parts on some boards that can be replaced with MLCCs, they will try their best to replace them with MLCCs. In terms of specifications, tantalum capacitors have some advantages in ESR and long-term stability.

VZ: In which specific link can MLCC replace tantalum capacitors? Is the current increase mainly due to voltage rise, resulting in the need for more MLCCs to support power consumption improvement during power conversion from PSU to VRM module? Tantalum capacitors are mainly used for low-frequency voltage stabilisation and even in HBM. Which specific technology direction or application scenario are you referring to?

HC: Tantalum capacitors are used in some places with low ESR and high stability, while MLCCs and aluminium electrolysis will be replaced in other places. When entering a high-end VRM requires more phases and denser circuit boards, it will need tantalum capacitors. There is still such a demand at present, but they will consider using MLCC as a replacement if MLCC can be used to replace the space design. That is to say, the space of the board will be considered.

VZ: Is it the same case for ASICs? What is the growth of demand for MLCC and tantalum capacitors in ASIC servers?

HC: ASICs also consider the space and ESR factors in customisation. If the demand for low ESR is determined, it still has a standby value. If the consideration is not that high, they will want to replace it with MLCC.

VZ: According to a piece of information I read earlier, if there are 100,000 MLCCs, the price will be about USD 5,000-30,000. However, if there are thousands of tantalum capacitors, it may only cost several thousand USD. What do you think of the difference in value between them?

HC: For example, 20-30 MLCCs are used to replace a tantalum capacitor. However, the cost of tantalum capacitors may be 100 times that of MLCCs. Therefore, it is cost-effective to use MLCCs.

[00:13:48]

Q: How much is an MLCC and a tantalum capacitor in Rubin?

HC: The price of tantalum capacitors is above USD 0.5, but it has been rising and may reach more than USD 1. The price of the highest-end high-temperature and high-pressure MLCCs is about USD 0.08. The cheaper ones are below USD 0.01, which is the general low capacitance value.

VZ: Won't the highest cost exceed USD 0.1?

HC: Almost no, MLCC will not exceed USD 0.1.

[00:14:36]

Q: Is the MLCC specification verification for the Rubin platform ready?

HC: At present, it has several scales for testing and will make some collocations. It has been conducting NPI verification on its boards at several scales. In the end, it will cooperate with five suppliers and may have 1-2 left for mass production. If you are the winner in the end, you will have a larger amount. I think it will be decided in May-June this year. Our experience is that it will be determined in May-June, and then we will start issuing orders and mass production of H2. But it will be in a hurry. Like Blackwell, it will keep changing.

[00:16:07]

Q: What is your estimated market share for Yageo in the MLCC segment related to AI servers?

HC: If Kemet is included, it should account for 20-30%. In terms of sales volume, Kemet accounts for about 5% and Yageo 10-15%. Yageo will have a higher proportion, perhaps more than 20%. In terms of monetary value, Kemet exceeds Yageo because its products are priced at a premium.

[00:17:18]

Q: Does Kemet give priority to automotive/industrial customers in terms of tantalum capacitor production capacity, or is it limited by other entry factors that prevent it from entering the data centre market on a large scale?

HC: Kemet's production capacity has always been very small. Its markets include the military and automotive industries, and the rest will be allocated to AI servers. If there are too many orders for consumer electronics because their production capacity is fixed, they will keep raising prices in the hope of suppressing demand. The best way out for tantalum capacitors is still in the automotive industry because they have a higher amount of money, especially from the military industry.

VZ: Why can't tantalum capacitors make as much profit in the data centre industry as automotive and military industries?

HC: I heard that a capacitor used in military helicopters can be sold at USD 70-80 per piece. Therefore, they will never give up these markets. However, its entry into the server market used to be a hot industry for ICT consumption. For it, the profit margin is very slim. Therefore, in order to compete with

Panasonic and other Japanese companies, its price cannot be much higher, but its quality lies there. If Yageo wants to expand its production capacity, it will not be able to do so unless it can make its own factories produce Kemet's products. If the tantalum chips produced by Kemet can be transferred to Yageo, I think it will make a great breakthrough in AI.

VZ: Given Kemet's low production capacity, will it expand its production capacity this year?

HC: Kemet has never had a big expansion plan, and it has been acquired by Yageo now. I think Yageo has already expanded its MLCC business, but it also plans to develop tantalum capacitors. It's just that the manufacturing process of tantalum capacitors is different from that of MLCCs, so it's not easy for Yageo to find a manufacturer that can produce them. Kemet didn't have a tantalum capacitor product line originally. It acquired TDK Electronics (previously Epcos), one of our subsidiaries, which used to produce tantalum capacitors and sold it to Kemet. Therefore, Kemet also acquired the tantalum capacitor business. I think it depends on whether Yageo can arrange tantalum production lines in its own factories. This is the key to increasing the production capacity of tantalum powder.

[00:21:34]

Q: How will the supply-demand gap of tantalum capacitors and MLCCs in AI server, automotive and consumer electronics downstream markets evolve this year? Just now, you mentioned that Rubin's demand for MLCCs will increase a lot. What is the specific growth rate of ASIC servers for MLCCs and tantalum capacitors?

HC: Now I see that a lot of MLCCs have been used on some ASICs. I'm talking about Rubin. As we can see from Ingrasys Technology, some of its GPU boards have 0402 and 0805 MLCCs that can increase to thousands. It may need 3,000-4,000 for a part number alone. I think the demand for MLCCs will explode in Q3 this year because when Vera Rubin locks down, it will start to reduce demand and there will be a great shortage of MLCCs. That's why Murata said that it will increase prices in the future.

Why is there no such problem in Q1 and Q2? There was still a lot of inventory in the past. I think everyone has digested it in Q1, and then there will be real demand and supply. At present, there is a balance, but I think it will be gradually broken in Q2. That is to say, it may start to run out of stock. In the past, everyone thought that Japanese brands didn't dare to raise their prices. But this time we hope Murata can do what it said. If it can grow, there will be a wave of shortages in the whole industry from 2016 to 2018, and the price will rise for half a day. Some people will stock up on them. At present, Yageo has started to stock up. Murata and Taiyo Yuden are not bad, but I think there may be another problem of hoarding in the future. In addition, there are some considerations for the increase in precious metals.

VZ: What is the demand for MLCCs and tantalum capacitors in consumer electronics and automobiles?

HC: In terms of consumer electronics, except for AI servers, other mobile phones are stable. Therefore, there is no big gap in this aspect.

VZ: Previously, many people in the industry thought that the shipment volume of computers, PCs and mobile phones would be reduced. Will this have an impact on MLCCs?

HC: Their current shipments are not very good, but after some generational changes in products. For example, the original PC is now called AI PC and mobile phones also have AI mobile phones. The consumption of MLCCs for these new products with AI has increased, which may just offset the decline

in their shipments. There is no significant growth in this aspect.

[00:25:39]

Q: Compared with GPUs, I think ASICs use fewer MLCCs and tantalum capacitors. Firstly, their power consumption is not that high. Secondly, they have fewer VRMs [voltage regulator modules]. Some of them don't have supercapacitor designs. On average, what percentage of MLCCs and tantalum capacitors are used for Google's TPU compared with Rubin? For example, if a GPU needs to use 100,000 MLCCs, how many will be used by TPUs?

HC: There aren't that many. It doesn't have so many NVLinks, so the proportion of a single link should be 20–30%, much less than that of GPUs.

VZ: In which parts are MLCCs and tantalum capacitors most commonly used?

HC: MLCCs are predominantly used in the DC-DC circuits of ASICs, specifically PMICs, where they form the RLC loops from these ICs.

VZ: Will there be a significant increase in the consumption of MLCCs and tantalum capacitors by CPOs?

HC: CPOs will also use them, but the modules are relatively small. Therefore, I don't think there are many such modules at present. They are used on optical boards such as TOSA and ROSA.

[00:29:00]

Q: As mentioned earlier, Kemet's tantalum capacitors for consumer electronics and automotive applications have a stable demand. While there is some growth in the AI server segment, Kemet shows no intention to expand production. Would its competitors consider capacity expansion?

HC: In fact, its competitors, such as Murata and Taiyo Yuden, have been expanding their production capacity. As far as I know, there will be some environmental pollution problems in the production process of tantalum capacitors. It is very difficult to expand their production capacity. Therefore, it seems that they can't expand their production capacity just because they want to. They need to find local regulations. I don't think it can be completed in one year, but may take 2–3 years. Therefore, even if they want to expand their production capacity now, they won't do so immediately. I think tantalum capacitor suppliers are also worried that the market will shrink again when they expand their production capacity one day. Therefore, it is most beneficial for them to raise prices, just like memory chips.

[00:31:02]

Q: As for MLCCs, do you think Murata will expand its production capacity this year?

HC: It is expanding capacity in many of its bases. It has large bases in Japan, China and Southeast Asia. Therefore, it is easy for it to expand its production capacity. Or it can directly use some unsatisfactory products, such as mobile phones, to make servers. I think it can allocate them.

VZ: How long does it take to switch from MLCCs used in consumer electronics to AI servers? Is it easy to

switch?

HC: It's easy to switch because it is a set piece. For example, if I set up an AI server now, it may need multiple layers of large ceramic plates to be cut. For example, 1,200 layers are needed for an AI server, while 500–600 layers may be enough for an ordinary mobile phone. As long as the formula and powder meet its requirements, it can switch production lines. Therefore, I don't think it will take more than three months for them to change production lines. The furnace temperature control may be a little different, but I think the production lines can be shared.

VZ: Do you mean that the difficulty in expanding the production capacity of tantalum capacitors lies in the upstream tantalum powder? Or in which part?

HC: That is to say, the materials used for medium and high pressure, high temperature and high-pressure resistance are different. The number of tandem stacks will be different and the size will also be different, but their production lines are shared. These are from powder. The powder with high temperature resistance and technology may be different. All these things need to be changed, but their facilities can be shared.

[00:33:39]

Q: How many times and how much have the prices of MLCCs and tantalum capacitors increased since Q1 last year? In Q3 and Q4 last year, the market anticipated Q1 MLCC price increases. What has actually transpired?

HC: Well, but it didn't seem to happen. If only Yageo were the only one giving the signals while Murata and TDK don't follow suit, it wouldn't be able to do so. However, Bloomberg has interviewed Murata and said that it may take action in March. As soon as it comes out, everyone will increase their price. Stock prices rise first, followed by brewing price hikes.

Given Murata's extensive experience and currently low prices, I find its price adjustment quite reasonable. But I believe once it adjusts, Taiyo Yuden, Semco, and Yageo will likely follow suit, as it currently sets the benchmark.

VZ: Is Yageo's proposed price hike due to its production capacity running at full capacity?

HC: No, I think it is controlling its sales volume because it has played this trick many times. It limits its shipments to high-voltage and large-capacitance capacitors and adjusts the price to distributors first.

VZ: In such cases, if other clients don't engage Yageo, they could approach Japanese manufacturers. But why would Japanese suppliers also consider price adjustments at this juncture? Is this driven by emerging supply-demand imbalances, or do they foresee structural shortages and are preemptively adjusting prices?

HC: At present, the supply and demand are very tight. It seems that Vera Rubin will be in this generation in the future. We believe it is because of the previous generations. It really happens. In addition to Vera Rubin, the penetration rate of AI servers is very high. Previously, it might have accounted for 5% or 10%, but now it has reached 20–30%. If it can account for more than half of the market in the future, I think it will grow greatly. Besides, all data centres have been investing in it. It seems that this trend won't stop now.

[00:37:04]

Q: Will these manufacturers reallocate consumer-grade production capacity to AI server clients?

HC: Yes, it's natural. We all receive orders for production. Since there aren't enough orders on the consumer side and AI can't come in, we will keep reallocating.

VZ: If this shift occurs, would MLCC capacity expansion remain unlikely this year, given the supply-demand gap? Could consumer-grade capacity be prioritised for AI servers first?

HC: Consumer products can also be repurposed, but despite their large volume, let me give an example: a single board can be cut into components like 0402, 1206, and 3225. For instance, 0402 and 0205 components can yield hundreds of thousands or even over a hundred thousand MLCCs. However, for high-power applications like AI servers, only around 5,000 layers can be cut due to their multi-layer structure and larger size. Consequently, they occupy a significant portion of production capacity, potentially consuming all consumer-grade capacity at once. In my opinion, even if all consumer production is redirected, it would still be insufficient to meet the AI demand gap. Thus, I believe there remains some shortage pressure.

[00:38:56]

Q: For March's proposed MLCC price adjustments, what magnitude of increase is anticipated?

HC: As far as I know, they are raising the price by 30%. However, this is the goal. Usually, if Nvidia or other companies don't accept a 30% growth today, it may fall to 15-20% in the end. However, it may force some channels to increase their prices. If they don't accept the price increase of 20-30%, they won't sell products. In this case, these small clients will be squeezed and forced to increase by 20-30%.

VZ: Kemet's tantalum capacitors have undergone three previous price hikes. What's the status of other manufacturers like Panasonic?

HC: There are all adjustments, but it depends on the frequency. Suppose it has 300% of orders this year, and after the price rises to 200%, it will adjust it again to 150%. Only when it drops below 100% will it settle down. If it is still full, I think Kemet will adjust it again. Panasonic may deal with small clients that it doesn't want to engage with by means of resource allocation.

VZ: When you mentioned "still full", were you referring to their order book?

HC: That's right. Assuming that the production capacity is 100 and the order volume is 300, if I want the order volume to be the same as the production capacity, it will keep increasing the price until some clients can't bear it and switch to other suppliers. If the BB ratio can be reduced to 1, it will not rise again. It is common for Japanese brands to have a BB ratio of more than 1, but it may not necessarily rise. It is possible that it will divide clients. For example, if you are Nvidia, I will give you first; if you are AMD, I will give you less; if you are a small or unimportant mobile phone manufacturer, I won't give you. There will be resource allocation.

VZ: What is the estimated range for Kemet's third price increase in H1 this year? Will it be comparable to competitors like Panasonic, or higher?

HC: As far as I know, it seems to be around 15–20%.

VZ: Is it roughly the same as Panasonic's?

HC: Yes.

VZ: Will a potential fourth price increase depend on the factors just mentioned?

HC: That's right.

[00:42:15]

Q: What is their current order status like?

HC: They are still at a high point. I think the clients are also in a tough spot. They won't stop purchasing just because of the price hike. For instance, GB200 is already in mass production – it's not feasible for them to halt orders due to increased costs. So, they have no choice but to absorb the loss until the end of the product lifecycle, when they can finally switch. Of course, if Kemet's prices exceed Panasonic's, they could shift more to Panasonic. However, Panasonic also faces production capacity constraints, so allocation adjustments must be made under these conditions. But it's only in the next generation that they can decide to stop using it. So, I believe tantalum capacitors might decline if future generations abandon them. However, this won't happen overnight – it will take at least another year.

VZ: Is another industry-wide price increase still possible this year?

HC: Yes, I think so. In addition, it was metal at first and petroleum now. If the transportation cost increases again, there will be a reason to increase the price.

[00:43:40]

Q: Apart from demand factors, is the shortage of upstream tantalum ore supply the key reason why tantalum capacitors saw price hikes earlier than MLCCs?

HC: The price of raw materials such as tantalum ore has also increased. I'm not sure about the specific increase rate, but there is also an adjustment in the price of raw materials. Therefore, this is one of the factors leading to the price rise. In addition to tantalum, silver and copper have also risen.

VZ: Did tantalum capacitors experience price increases in Q3 and Q4 last year due to their limited production capacity, leading them to raise prices before MLCCs?

HC: Yes. First of all, it has seen the gap. Secondly, its suppliers are very limited, so it can adjust the price as long as several suppliers agree. However, there are too many MLCCs, so it is not easy for everyone to agree on a calibre.

[00:45:11]

Q: You mentioned Kemet holds only 5% in AI servers. What are the market shares of competitors like

Panasonic?

HC: As I just said, Kemet's tantalum capacitors account for 5% of Yageo.

VZ: What is Kemet's overall market share in servers?

HC: Kemet accounts for more than 30% of the server market, and Panasonic may account for 30-40%. Vshay and the rest few ones account for about 20%, respectively.

VZ: Is the 30% you referred to entirely tantalum capacitors?

HC: Assuming that tantalum capacitors are 100%, Kemet accounts for 30%.

VZ: What are the respective market shares of Yageo's MLCCs and Kemet's tantalum capacitors in AI servers?

HC: Yageo's MLCC accounts for about 20%. Kemet's 30% refers to its tantalum part, not Kemet's MLCC. Kemet's MLCC accounts for about 5%, and Yageo's MLCC accounts for about 20%. Therefore, their AI server market share is about 25%.

[00:47:38]

Q: For MLCCs and tantalum capacitors, if there is a new round of price increases in H1, how are the timing and magnitude of such increases typically determined?

HC: It is usually decided at the end of a quarter. For example, the price after April will be determined by the end of March now. Therefore, it usually sends a letter at the end of March or has reached an agreement with several suppliers, such as Foxconn and Wistron. When they have reached an agreement, they will send out a letter stating that it needs to increase the percentage now.

VZ: Will the contract be renegotiated in the next quarter?

HC: That's right. At the end of each quarter, suppliers will be required to reduce costs. However, some of the items must see costs increase. Therefore, you can report these costs in the RFQ. Suppose it starts an RFQ on 1 March and asks you to quote a price online. For example, the deadline will be 20 March and effective on 1 April. It will announce the next round of price increases before 20 March, so it can report any increase or decrease on the RFQ. However, usually when you report a price increase, it will become red and the purchaser will argue. Usually, the price increase is a big deal and will be handled by senior executives or directly negotiated face-to-face.

VZ: For large EMS companies, if they refuse to accept such significant price hikes, would they initiate negotiations?

HC: That's right. They may negotiate with you 2-3 times. For example, if I want to increase the price by 30%, they will come to you for negotiation. After the procurement is completed, the price may rise by 25%. However, the boss came out to negotiate with Yageo again. In the end, both sides are top procurement directors or general managers. If Chen Taiming from Yageo comes out, there may be only a 20% increase. Finally, it may be extended after 20 March if both parties are not satisfied. However, the final decision will be made before the end of March and implemented in the next quarter.

VZ: Is it generally not anticipated that prices will rise next quarter?

HC: Usually, it is impossible to adjust the effective date from 1 April to 30 June. If you have already committed this number, it will be very difficult for you to increase it in the meantime. If this is really done, it will cause great dissatisfaction among customers.

VZ: Previously, Kemet announced a price increase for tantalum capacitors in November, and Panasonic did the same in February. If such announcements occur mid-quarter, do they typically refer to the following quarter?

HC: Usually, it is the next quarter. Sometimes it may not be applicable to all customers. When it is difficult for them to deal with some LOA or quarterly clients, or they say that if they want to increase the price, they will raise it in the next quarter. They will try their best to get all the goods this quarter. No one has raised the price before. It must be after the increase. Therefore, if a letter is sent saying that it will take effect on 1 March, customers usually won't accept it. In addition, there will be many operational difficulties because many goods are outstanding orders or in transit, which will cause implementation difficulties.

[00:52:32]

Q: Is Yageo's low-end MLCC segment under substantial cost-reduction pressure? What percentage of its product portfolio currently consists of high-end MLCCs? Is it accelerating the shift of production capacity from consumer to industrial applications?

HC: Yageo's high-end products are Kemet, and only about 5% of its 20% is high-end. The rest are mid-range and low-end products. These mid-range and low-end products have to face price adjustments every quarter in the market. However, when the cost of raw materials is enough to cover it, they won't adjust their prices. Instead, they will make adjustments according to the supply and demand in the market. It is easy for them to increase or lower prices at any time, unlike Japanese brands that are more stable.

VZ: It currently has no plans to expand high-end production capacity, correct?

HC: At present, its overall production capacity is not full. Kemet's high-end products are relatively full, so it can allocate them.

VZ: Has Kemet's high-end MLCC production capacity already reached full utilisation?

HC: It is almost full. In addition to servers, it has been delivering automotive and military equipment all the time. Therefore, it is stable.

VZ: If operating at full capacity, would it reallocate some consumer-grade production lines to fulfil additional server orders?

HC: Yes, it will reallocate. In addition, it also depends on Murata and Taiyo Yuden to wait for an opportunity. If Murata can't pay the money today, it will increase its price when there is only one left. Or Murata focuses on consumption. It doesn't want to do this and has no profit and it can initiate EOL. Yageo will have the opportunity to raise its price again. This is their strategy.

VZ: Are you referring to price increases for low-end products specifically?

HC: That's right. Low-end products can also be adjusted. In 2016-18, it rose across the board. As long as there was a shortage of goods, they would bid for distributors and let the one with the highest price win.

[00:55:43]

Q: Yageo has shown significant revenue growth in January and February. How would you assess its March revenue performance and the likelihood of achieving YoY growth for the entire first quarter?

HC: I believe so. Q1 and 1-2 are good because there were too many goods transported before the Lunar New Year. However, there is usually a big decline after the Lunar New Year because there are too many goods transported before the Lunar New Year. However, I don't think Blackwell will do so this time. It may have been increasing its orders for GB300 and B300. I think it may be because Nvidia has accumulated a lot of orders before digesting them. Therefore, I think the shipment volume will be very prosperous this year. There will be a climax of H2 Vera Rubin in the future, so I think it will be good this year.

VZ: What is the estimated QoQ revenue growth percentage for Yageo in Q1?

HC: QoQ growth may be 5%.

VZ: Yageo's revenue for January and February was approximately TWD 24.5bn. If it reaches TWD 11.5bn in March, would that at least maintain the same level?

HC: That's right. I think it can grow further. March should be similar to or even higher than January because there are fewer days in February. January is a peak.

VZ: If Yageo increases prices in April, might it prioritise stockpiling tantalum capacitors in March?

HC: That's right. I think the demand for tantalum capacitors will be high until H2 this year, and they have been receiving increasing orders. Therefore, if it rises again in April, it can sell as many tantalum capacitors as possible in March. However, there is almost no stock in the market now. The goods that can be delivered according to this forecast are basically all sold out.

VZ: For a 5% QoQ growth, would March revenue need to exceed TWD 13bn?

HC: Yes.

VZ: Do you believe this target is achievable?

HC: I think it can be done.

[00:59:17]

Q: Have you observed Kemet aggressively targeting Panasonic's Japanese clientele in the automotive and industrial sectors?

HC: Now that Kemet has joined Yageo's team, I think it will be more active than the original American team. In the past, Kemet could only produce in Europe and North America. Now it has an Asian team. It didn't have sensor production in Japan before, so it will find a way to make some changes. Some of them want to balance the shortage in Asia, but I think their production capacity must keep up so that they can get more market share. They are actively doing it.

[01:00:18]

Q: Would you like to add anything further?

HC: I think it will be seen whether the MLCC has been adjusted in Q1. April-June is a key month. If there will be an adjustment, it should be announced at this time.

VZ: Didn't you indicate this would occur by the end of March?

HC: That's right. But clients haven't received it yet. Sometimes they will release the news first, but if they don't respond well, it may be late. Therefore, it may be seen in April-June. Vera Rubin hasn't been launched yet, so no one dares to act rashly. It will be a critical point once it is launched and no one can hold on.

VZ: Are there any trackable indicators available?

HC: Murata is an indicator. If it adjusts its price, I think the industry will increase prices following it. They all say that there is no such thing, but as long as it increases its price, everyone will know about it immediately.

VZ: Would competitors follow suit immediately after its price adjustment?

HC: Yes.

VZ: As time was limited, we will end the Interview. Thanks again to Mr Chao for their input today. This now concludes our meeting. Goodbye.

If you'd like to speak to Hongxuan Chao in a private call or meeting, please let your relationship manager know.

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